

Justification and Approval (J&A) for Other Than Full and Open Competition

Was a J&A approved for the preceding acquisition where that acquisition required a J&A? ☐ Yes ☒ No

Is this a new or amended J&A Document? ☒ New ☐ Amended (Prior to Award Only!)

Is this a Bridge Action as defined at [DAFFARS 5302.101](#)? ☒ Yes ☐ No

Dollar Value of this Acquisition: ☐ [REDACTED] ☐ [REDACTED] ☒ [REDACTED] ☐ [REDACTED]

Contracting Activity: AFLCMC/WNKAE

Purchase Request (if available) / Local ID Number: FD2060-24-30112

Program / Project (and PE, if applicable): Loaders/Halvorsen

Program Type (PEO, Enterprise, of Operational): PEO

Authority:

6.302-1 – 10 USC 3204(a)(1), Only One Responsible Source - No Other Supplies or Services Will Satisfy Agency Requirements

Estimated Contract Cost (including options): \$ [REDACTED] J&A Type: ☒ Class ☐ Individual

!! Provide estimated cost of all contracts.

COORDINATION ([DAFFARS 5306.304\(a\)](#))

Date 21 Mar 24	Project Lead Liz Douglas AFLCMC/WNZ / [REDACTED]	Signature DOUGLAS.ELIZABETH.E.1595304802  Digitally signed by DOUGLAS.ELIZABETH.E.1595304802 Date: 2024.03.21 13:11:49 -04'00'
Date 25 Mar 2024	Contracting Officer Kimberly Mercer AFLCMC/WNKAC/ [REDACTED]	Signature MERCER.KIMBERLY.F.1400976534  Digitally signed by MERCER.KIMBERLY.F.1400976534 Date: 2024.03.25 10:58:47 -04'00'
Date 26 Mar 2024	Local Legal Reviewer Maj Erik T. Fuqua 78 ABW/JA / [REDACTED]	Signature FUQUA.ERIK.TODD.1503037196  Digitally signed by FUQUA.ERIK.TODD.1503037196 Date: 2024.03.26 16:24:59 -04'00'
Date 01 May 2024	Competition Advocate Nicole R. Furlough AFSC/PZC / [REDACTED]	Signature FURLOUGH.NICOLE.R.1183766518  Digitally signed by FURLOUGH.NICOLE.R.1183766518 Date: 2024.05.01 09:49:29 -04'00'

APPROVAL ([DAFFARS 5306.304\(a\)](#))

Date 13 May 2024	PEO / Head of Procuring Activity / Designated Alternate Lea T. Kirkwood, SES, DAF AFLCMC/WN	Signature KIRKWOOD.LEA.T.1185719037  Digitally signed by KIRKWOOD.LEA.T.1185719037 Date: 2024.05.13 21:26:55 -04'00'
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I. Agency and Contracting Activity.

This Class Justification and Approval (J&A) is to request authority for Other Than Full and Open Competition supporting requirements generated for the Air Force Life Cycle Management Center (AFLCMC)/WNZ. The contracting activity for this requirement is AFLCMC/WNKAC. The purchase request number supporting this contract action is FD2060-24-30112.

II. Nature and/or description of the action being approved.

Due to the circumstances described herein, the activity request authority to acquire Contractor Logistics Support (CLS) for the Halvorsen 25,000-pound capacity aircraft cargo loader/transporter system listed in the document using Other Than Full and Open Competition as prescribed by FAR 6.302-1, Only one Responsible Source and No Other Supplies or Services will Satisfy Agency Requirements. This contract action will result in the award of a bridge contract which will be a Fixed Price Incentive Firm Target (FPIF) and Firm Fixed Price (FFP) Requirement Indefinite Delivery Contract (IDC), with a one-year Basic and four (4) option years. Based on the projected award date, task orders can be issued from 14 May 2024 through 13 May 2029, if all options are exercised.

This bridge contract supports the continuation of services currently provided under contract FA8519-14-D-0007. The current contract expires on 13 May 2024. This bridge contract will ensure continued Halvorsen loader weapon system availability while the follow-on competitive Aircraft Cargo Loader (ACL) Component Level, Performance Based Logistics (PBL) acquisition strategy is re-defined and re-solicited.

This bridge contract will be sole source to the following vendor:

DRS Sustainment Systems Inc.
4201 Innovation Way
Bridgeton, MO 63044-2309
CAGE: 98255
Large Business

III. Description of supplies/services required to meet agency needs.

This effort is for CLS sustainment support to the Air Force Policy Directive 10-9 designated Halvorsen weapon system, National Stock Number 3920-01-480-9519. The Halvorsen weapon system supports the majority of all United States Transportation Command (TRANSCOM) air cargo moved worldwide, therefore continuation of Halvorsen sustainment is essential to the air mobility mission.

Component Level PBL support for 480 Halvorsen, at over 125 world-wide locations, is required under this CLS sustainment effort. This effort supports Air Mobility Command (AMC) Lead Command, Air Combat Command, Air Force Materiel Command, Air Force Special Operations Command, United States Air Force Air Forces Central, Pacific Air Forces, United States Air Forces in Europe, Air Education and Training Command, Space Force, National Guard Bureau, and Air Force Reserves mission requirements. The Halvorsen performance/availability are key elements in the AMC Global Mobility mission's precision and velocity. The Component Level PBL requirement is complex and requires integration of major subtasks, each of which is complex. Major subtasks contain supply chain management, including world-wide

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distribution (over 3,000 unique Halvorsen parts must be sourced/built/qualified); systems engineering (design); and unscheduled depot level repairs. CLS sustainment of these major subtasks is essential to maintain system availability. Sustainment is 100% of the total PBL effort.

This effort includes the following tasks that when combined achieve loader availability and ensure product life-cycle management.

- a. Material Management (MM) parts and MM infrastructure. MM parts are the variable cost items of MM and include make/buy parts themselves plus packing, handling, and shipping of parts. This portion of the contract is purchased as a quantity of operating hours or “power by the hour.” Fixed MM costs are segregated and placed into the MM infrastructure which in turn provides for the MM parts to be priced as a single price per hour regardless of quantity of hours purchased.
- b. Program Engineering Support (PES). Program management and engineering support includes, but not be limited to systems engineering processes; configuration management of the product baseline; Technical Order and checklist changes and updates; Air Force Technical Order form 22 resolution; Time Compliance Technical Orders; interactive electronic technical manuals; technology insertion; Diminishing Manufacturing Sources and Material Shortages to resolve vanishing vendors/obsolete parts; system deficiency resolution; and new capability implementation.
- c. Unscheduled Depot Level Maintenance (UDLM). Requires the assessing, recommending, and performing appropriate actions concerning accidents, wartime damage, acts of God and other UDLM. This includes the determination for whom and where the damaged loaders are to be repaired, i.e., by the warfighter in the field, the contractor field team, and/or contractor depot repair. This also includes the development of repair procedures and the repair(s). UDLM is implemented on a case-by-case basis.
- d. Data. Data includes, but not limited to an avenue for the contractor to submit Contract Data Requirements List (CDRLs) and Data deliverables when required. These CRDLs and data range from information that is submitted to include: Conference Agendas/Summaries, Contractor Funds Reports, Engineering Documents, Technical Orders/Manuals, Accident Reports, Quality Assurance Reports, Safety Assessment Reports, and Cybersecurity Reports. These CDRLs are not separately priced and is delivered on a case-by-case basis (Monthly, Quarterly, and Yearly). The data that is delivered for these CDRLs is Government owned and managed by the contractor.
- e. Modifications. Implemented, as necessary for Halvorsen weapon system modifications. This task is implemented on a case-by-case basis.

The total estimated cost for the bridge contract is \$ [REDACTED] as indicated below:

PERIOD	FISCAL YEAR	ESTIMATED TOTAL
Basic	FY24	\$ [REDACTED]
Option I	FY25	\$ [REDACTED]
Option II	FY26	\$ [REDACTED]
Option III	FY27	\$ [REDACTED]
Option VI	FY28	\$ [REDACTED]

The nominal Contract Line Item Number (CLIN) structure and best estimated quantities (BEQs) is as

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follows:

Basic:

CLIN	DESCRIPTION	COST	BEQ	U/I	Unit Price	Total Est Cost
0001	Material Mgt Infrastructure	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
0002	Material Mgt Parts	FPIF	35,000	HR	\$ [REDACTED]	\$ [REDACTED]
0003	Engineering	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
0004	UDLM	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
0005	**CHPMSK 30 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
	CHPMSK 90 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
0006	DATA		12	MO		*NSP
Total: \$ [REDACTED]						

OP I:

CLIN	DESCRIPTION	COST	BEQ	U/I	Unit Price	Total Est Cost
1001	Material Mgt Infrastructure	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
1002	Material Mgt Parts	FPIF	35,000	HR	\$ [REDACTED]	\$ [REDACTED]
1003	Engineering	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
1004	UDLM	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
1005	CHPMSK 30 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
	CHPMSK 90 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
1006	DATA		12	MO		NSP
Total: \$ [REDACTED]						

OP II:

CLIN	DESCRIPTION	COST	BEQ	U/I	Unit Price	Total Est Cost
2001	Material Mgt Infrastructure	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
2002	Material Mgt Parts	FPIF	35,000	HR	\$ [REDACTED]	\$ [REDACTED]
2003	Engineering	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
2004	UDLM	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
2005	CHPMSK 30 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
	CHPMSK 90 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
2006	DATA		12	MO		NSP
Total: \$ [REDACTED]						

OP III:

CLIN	DESCRIPTION	COST	BEQ	U/I	Unit Price	Total Est Cost
3001	Material Mgt Infrastructure	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
3002	Material Mgt Parts	FPIF	35,000	HR	\$ [REDACTED]	\$ [REDACTED]
3003	Engineering	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
3004	UDLM	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
3005	CHPMSK 30 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
	CHPMSK 90 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
3006	DATA		12	MO		NSP
Total: \$ [REDACTED]						

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OP IV:

CLIN	DESCRIPTION	COST	BEQ	U/I	Unit Price	Total Est Cost
4001	Material Mgt Infrastructure	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
4002	Material Mgt Parts	FPIF	35,000	HR	\$ [REDACTED]	\$ [REDACTED]
4003	Engineering	FPIF	12	MO	\$ [REDACTED]	\$ [REDACTED]
4004	UDLM	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
4005	CHPMSK 30 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
	CHPMSK 90 Day	FFP	1	LO	\$ [REDACTED]	\$ [REDACTED]
4006	DATA		12	MO		NSP

Total: \$ [REDACTED]

Grand Total: \$ [REDACTED]

*Not Separately Priced

** Contingency High Priority Mission Support Kit

This requirement will be funded with Operation & Maintenance 3400.

The overall program acquisition strategy supports the J&A conclusion for a sole source effort to the incumbent contractor based on previous acquisition efforts and the urgency of Halvorsen CLS support. This bridge contract provides the field with critical capabilities (up to 60 months) while aligning with the Halvorsen Overhaul (OH) bridge effort. This 60-month bridge contract provides the integrated product team (IPT) with a reasonable amount of time to survey industry and completely restructure the follow-on sustainment effort in order to provide a more competitive, full and open acquisition strategy.

This Class J&A covers all orders issued against this Requirements IDC during Basic Period of Performance (1 year) as well as the Option years (up to 4 additional years), if exercised.

IV. Demonstration that the contractor's unique qualifications or the nature of the acquisition requires use of the authority cited above.

DRS Sustainment Systems Inc. has the current sustainment contract for the Halvorsen weapon system. They are the only source capable of providing the required services for the bridge contract without the Government experiencing unacceptable delays for the continuation of sustainment support. The current sustainment contract, FA8519-14-D-0007 expires on 13 May 2024. The Government competed the Halvorsen follow-on sustainment requirement as part of the larger ACL sustainment effort. This was done in a full and open competition environment. The Request for Proposal was released on 31 May 2023. DRS Sustainment Systems Inc. was the only vendor to submit a proposal (10 July 2023). DRS Sustainment Systems Inc. was notified on 04 August 2023 that only one proposal was received, therefore certified cost or pricing data would be required for negotiations. The submission was due 15 September 2023. On 07 September 2023, DRS requested a 90 day extension until 06 December 2023. The Program Team held multiple meetings with DRS to discuss proposal adequacy requirements. On 05 December 2023, DRS informed the Government that an adequate proposal would not be submitted until 13 December 2023. On 13 December 2023, the Government received DRS's proposal with cost or pricing data but it was determined to not be compliant with FAR 15. DRS was given until 31 January 2024 to provide an adequate proposal for the combined ACL effort. The final ACL proposal that DRS submitted on 31 January 2024 was deemed inadequate by the Government.

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The ACL sustainment effort was cancelled on 26 February 2024 due to the inadequacies of the final proposal. The acquisition strategy for the ACL Component Level, PBL requirement is in the process of re-definition with plans to solicit at a later date. The bridge contract is intended to sustain the Halvorsen weapon system until the follow-on acquisition strategy is re-defined, solicited, and contract awarded. Due to the need date quickly approaching for Halvorsen CLS sustainment coverage, the Government had to pivot and separate the CLS "must-pays" bridge effort from the Halvorsen Overhaul bridge effort.

The Government owns unlimited rights to level III technical data. The main risk areas include adequate facilities, ability to rapidly establish and maintain sources of supply, ability to rapidly ramp-up and maintain a just-in-time worldwide parts distribution system, Defense Contract Audit Agency (DCAA) approved cost accounting standards, Earned Value Management System, sufficient engineering capability to implement Component Level 3 PBL, and ability to rapidly deploy depot level repair field teams. Accordingly, DRS Sustainment Systems Inc. is currently the only firm capable of providing the services described in Section III above without the United States Air Force (USAF) experiencing unacceptable delays in fulfilling its requirements or meeting its mission. Award to any other source would cause unacceptable delays due to the complexity of the services. The bridge contract covers a period of 60 months, if all options are exercised, which allows time for a new acquisition strategy to restructure the contract, to ensure full and open competition, host industry days, and align this CLS bridge schedule with the Overhaul bridge schedule. With the urgency of needing this bridge effort, a new vendor would not have time to establish adequate support to maintain field requirements at a fair and reasonable rate.

The Government has determined any break in the support of the Halvorsen (that is, failure to deliver due to time constraints and/or conformance) would cripple the Air Force's ability to execute the Department of Defense (DoD) air cargo mobility mission. The Halvorsen weapon system touches 90% of all TRANSCOM air cargo moved worldwide. Failure to provide uninterrupted Halvorsen PBL support would result in an immediate drop in Halvorsen availability. According to historical data, approximately 83.3% of loaders will only be partially mission capability or unserviceable within a month due to shut down of repair parts, field service support, engineering, and depot repair capability. Continuation of sustainment support is necessary to keep the fleet operational. The loss of operational Halvorsen's will increase aircraft ground turn-around time by up to 50%. The resulting reduction in cargo velocity will have a direct and immediate impact on available cargo sorties, thus, reducing delivery of mission critical assets and war-fighting capability worldwide.

Accordingly, DRS Sustainment Systems Inc. is the only vendor capable of providing the requirements described in Section III above without the USAF unacceptable delays in fulfilling its requirements.

V. Description of efforts made to ensure that offers are solicited from as many potential sources as practicable, including whether a notice was or will be publicized as required by subpart 5.2 and, if not, which exception under FAR 5.202 applies.

A Sources Sought (SS) / Request for Information (RFI) synopsis was posted to SAM.gov on 17 January 2024 with a response date of 16 February 2024 under Notice ID FA8534-23-R-000X. The SS/RFI requested responses from interested vendors that possess the expertise, capabilities, and experience to meet qualification requirements for this effort. DRS Sustainment Systems Inc (Cage 98255), the incumbent was

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the only vendor that responded to the SS/RFI.

The requirement will be synopsized in SAM.gov in accordance with FAR 5.201. It is anticipated that sources having an interest in subcontracting may be identified through synopsis. Any source who responds to the Government as a result of this synopsis will be identified to the prime contractor as a potential subcontracting possibility.

VI. Determination by the Contracting Officer that the anticipated cost to the Government will be fair and reasonable.

Based upon certified cost or pricing data provided in the offeror's proposal in accordance with FAR 15.403-4, the contracting officer will ensure that the services acquired are purchased at a fair and reasonable cost to the government. Cost analysis will be performed utilizing the data collected with input from Defense Contract Management Agency and DCAA, as required. In addition, the PCO will compare proposed costs to actuals/cost history from the current contract (FA8519-14-D-0007).

VII. Description of the market research conducted and the results, or a statement of the reasons market research was not conducted.

Market research was conducted in accordance with FAR Part 10.001 and 10.002 15 August 2023 through 20 February 2024. The Market Research Report was completed on 22 February 2024. The market research techniques used were as follows:

Online market research revealed six (6) different vendors that manufacture or support equipment similar to the Halvorsen Cargo Loader. The vendors were found to support equipment similar to cargo loaders and varied in experience with the Government.; Several of the vendors were contacted to better understand reasons why they did not propose on the ACL RFP. [REDACTED]

[REDACTED] The vendors evaluated were as follows:

TLD America (CAGE: 6M481)
 Allied Systems (CAGE: 60848)
 RCL Components INC. (CAGE: 34AH4)
 ATAP INC (CAGE: 22638)
 DRS Sustainment Systems INC (CAGE: 98255)
 JBT Aerotech (CAGE: 93408)

A Small Business Administration (SBA) Dynamic Small Business Search (DSBS) query was conducted using North American Industry Classification System code 333924 and keywords Aircraft Cargo loaders, cargo loaders, hydraulic loaders, and deck loaders. This query produced "0" additional potential vendors.

As described in Section V above, a SS/RFI synopsis was posted to SAM.gov on 17 January 2024 with a response date of 16 February 2024 under Notice ID FA8534-23-R-000X. The incumbent, DRS Sustainment Systems Inc. was the only vendor to respond. The Halvorsen is considered a commercial item as defined in FAR 2.101.

The Halvorsen is used by both the military and the commercial aviation industry. The USAF Halvorsen loaders are modified commercial items to meet the required specifications.

The market research concluded DRS Sustainment Systems Inc. is the only vendor capable of fulfilling the Government's requirement during this 60-month bridge period.

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VIII. Any other facts supporting the use of Other Than Full and Open Competition.

There are no DoD contractors that have the knowledge and expertise to handle this bridge contract. The incumbent (DRS) is established and will be able to execute this bridge contract without a break in service. A new vendor would need adequate time to fully understand the sustainment requirements defined in the Performance Work Statement and invest up-front costs and resources to establish adequate support for the Halvorsen fleet in a short award window. Only DRS Sustainment Systems Inc. currently has the capability required to maintain the fleet during this bridge contract period. This J&A is for continued system availability support of the weapon system until the competitive ACL PBL sustainment follow-on contract is awarded.

IX. List of any sources that expressed, in writing, an interest in the acquisition.

See Section V above.

X. A statement of the actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisitions for the supplies or services required.

This acquisition is for a bridge contract to provide coverage until the competitive Halvorsen PBL follow-on contract is awarded, estimated timeframe of January 2029. Four out-year options will be included on the bridge contract to mitigate delays in the award of the follow-on contract and reduce the chances of a lapse in coverage of Halvorsen CLS support. The absence of approved contractors, other than the incumbent, presents a short-term barrier. It is anticipated that barriers to competition presented in the original ACL PBL solicitation will be overcome through re-defining the acquisition strategy and re-soliciting the requirement. Through these actions, the Government does not anticipate barriers to full and open competition in the long term.

XI. Certification by the Contracting Officer.

As evidenced by my signature, I certify that this justification is accurate and complete to the best of my knowledge and belief.

XII. Certification by the technical/requirements personnel.

As evidenced by my (our) signature(s) above, I (we) certify that any supporting data contained herein, which is my (our) responsibility, is both accurate and complete.